When the opportunity returned, NI stepped in. In 2003 and 2004, it brought in more than $600 million in premiums *each year*.

I cannot emphasize enough how hard it would be for a "normal" insurance company to act this way. Imagine the public shareholders calling for management's heads. "This business hasn't grown for years!"

As Charlie Munger, Berkshire's vice chairman, put it in the last annual letter, "Berkshire's marvelous outcome in insurance was not a natural result. Ordinarily, a casualty insurance business is a producer of mediocre results, even when very well managed. And such results are of little use."

So, summing up here, there are three key points:

1. Buffett used other people's money to get rich.
2. He borrowed that money often at negative rates and, on average, paid rates well below what the US Treasury paid.
3. To pay those low rates required the willingness to step away from the market when the risk and reward got out of whack.

I wonder why more people don't try to emulate Berkshire. It seems, given the success, there should be more firms using insurance float as Buffett did. Most insurers just put their float in bonds. And they try to compete with other insurers on rates.

It's true there is only one Warren Buffett. And it's also true luck plays a role, as it always must. Even Munger admits that Berkshire's success has been so grand that he doubts Buffett himself could recreate it if you gave him his youth back and a smaller base of capital.

Even so, Munger writes, "I believe that versions of the Berkshire system should be tried more often elsewhere."

I do too. An 18,000-bagger is outrageous. It boggles the mind. No one may ever match it. But so what? How about a mere 100-bagger? The template is there.

The Berkshire Hathaways of the Next 20 Years

Now that we have analyzed the gold standard of investing, let's ask, is it possible that other Berkshire Hathaways exist? Let's consider the